CHAPTER

11

PUBLIC FINANCE

Course of Action
Maximum Time = 4 Hrs
Maximum Questions = 83

Learning Objectives

The students will learn:

- *The meaning and objective of fiscal policy.*
- *Public Revenue: Meaning and types of taxation, non-tax revenue.*
- *Meaning, types and importance of Public Expenditure.*
- *Meaning of Public Borrowings, Reasons to take them and methods of redeeming public debt.*
- *Government Budget and its components.*
- *Various types of deficits and their implications.*

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Fiscal Policy – Public Expenditure and Deficit Financing **Page No. 222**
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Government Budget **Page No. 226**

Topic-1 Fiscal Policy – Public Revenue

Concepts covered: Fiscal Policy, Revenue Policy.

Revision Notes

- **Fiscal Policy :** Policy of the government dealing with generating revenue and utilising funds of the government to provide for growth and stability in the economy.
- **Objectives of Fiscal Policy :** (1) Growth of economy, (2) Stability of economy, (3) Stability of prices, (4) Achieving full employment, (5) Reducing income inequality, (6) Reducing wealth inequality.
- **Instruments of Fiscal Policy :** The various instruments are Revenue Policy, Expenditure Policy and Debt Policy.
- **Revenue Policy or Public Revenue Policy :** It refers to the total income of the government from various sources. It covers revenue receipts as well as capital receipts.
- **Revenue Receipts :** Comprises of :

(i) Tax receipts

(a) Direct Tax : Tax in which burden of tax and responsibility to deposit tax lies on the same person. For example, income tax, corporate tax, wealth tax, etc. are direct taxes.

(b) Indirect Tax : Tax in which burden of tax and responsibility to deposit tax does not lie on the same person. For example, VAT, sales tax, service tax, GST, etc. are indirect taxes.

(ii) Non-tax receipts : These can be government fees (like passport fees, etc.), fines (like penalties for traffic rules, disobeying laws, etc.) and donations (like in case of natural disasters).

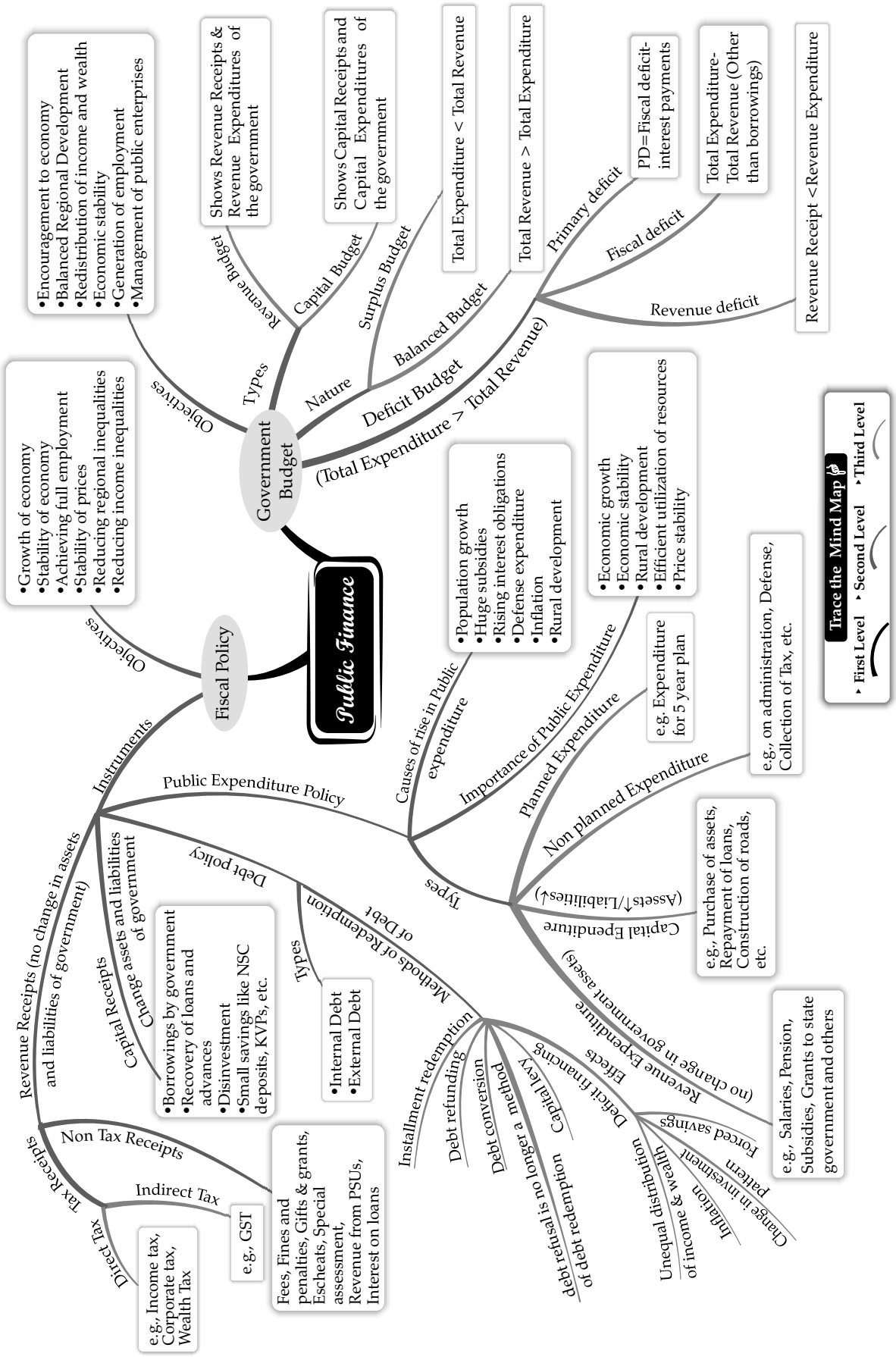
- **Types of Taxes :** The different types of tax regimes are:

(i) Progressive tax : The tax structure in which the tax rate increases with increase in income.

(ii) Regressive tax : The tax structure in which the tax rate decreases with increase in income.

(iii) Degressive tax : The tax structure in which the tax rate increases with increase in income but the increase in tax rate is not proportional to increase in the income.

(iv) Proportional tax : The tax structure in which the tax rate remains constant, only the tax liability increases with increase in income.


Public Finance
Government Budget
Objectives
•Encouragement to economy
•Balanced Regional Development
•Redistribution of income and wealth
•Economic stability
•Generation of employment
•Management of public enterprises
Types
Revenue Budget
Shows Revenue Receipts & Revenue Expenditures of the government
Capital Budget
Shows Capital Receipts and Capital Expenditures of the government
Nature
Surplus Budget
Total Expenditure < Total Revenue
Balanced Budget
Total Revenue > Total Expenditure
Deficit Budget
(Total Expenditure > Total Revenue)
Primary deficit
PD=Fiscal deficit-interest payments
Fiscal deficit
Total Expenditure-Total Revenue (Other than borrowings)
Revenue deficit
Revenue Receipt <Revenue Expenditure
Fiscal Policy
Objectives
•Growth of economy
•Stability of economy
•Achieving full employment
•Stability of prices
•Reducing regional inequalities
•Reducing income inequalities
Instruments
Revenue Receipts (no change in assets and liabilities of government)
Tax Receipts
Direct Tax
e.g., Income tax, Corporate tax, Wealth Tax
Indirect Tax
e.g., GST
Non Tax Receipts
Fees, Fines and penalties, Gifts & grants, Escheats, Special assessment, Revenue from PSUs, Interest on loans
Capital Receipts
Change assets and liabilities of government
•Borrowings by government
•Recovery of loans and advances
•Disinvestment
•Small savings like NSC deposits, KVPs, etc.
Debt policy
Types
•Internal Debt
•External Debt
Methods of Redemption of Debt
Installment redemption
Debt refunding
Debt conversion
debt refusal is no longer a method of debt redemption
Capital levy
Deficit financing
Effects
Unequal distribution of income & wealth
Inflation
Change in investment pattern
Forced savings
Public Expenditure Policy
Causes of rise in Public expenditure
•Population growth
•Huge subsidies
•Rising interest obligations
•Defense expenditure
•Inflation
•Rural development
Importance of Public Expenditure
•Economic growth
•Economic stability
•Rural development
•Efficient utilization of resources
•Price stability
Types
Planned Expenditure
e.g. Expenditure for 5 year plan
Non planned Expenditure
e.g., on administration, Defense, Collection of Tax, etc.
Capital Expenditure (Assets↑/Liabilities↓)
e.g., Purchase of assets, Repayment of loans, Construction of roads, etc.
Revenue Expenditure (no change in government assets)
e.g., Salaries, Pension, Subsidies, Grants to state government and others
Trace the Mind Map
First Level
Second Level
Third Level

SUBJECTIVE TYPE QUESTIONS

1 Mark Questions

Q.1. Mention any one difference between impact of tax and incidence of tax. [ISC 2023]

Ans. Impact refers to the initial burden of the tax, while incidence refers to the ultimate burden of the tax. The impact of taxation occurs when the tax is imposed. Tax incidence is on the person who finally bears the tax.

Q.2. State one difference between progressive tax and regressive tax. [ISC Semester-II, 2022]

Q.3. Give any one fiscal measure that can be used to decrease the gap between rich and poor. [OEB]

Ans. One fiscal measure that can be used to decrease the gap between rich and poor is the public expenditure of the government.

Q.4. Mention any one objective of fiscal policy. [OEB]

Ans. On of the objective of fiscal policy is the removal of inequalities in income distribution between rich and poor.

Q.5. Mention the difference between tax revenue and non-tax revenue receipts. [OEB]

Ans. Tax revenue can be referred to as those taxes which are of two types direct taxes and indirect taxes. It includes sales tax, income tax etc. Non-tax revenue can be referred to as those receipts such as interest, dividends, profits etc.

Q.6. State giving reason whether the following statement is true or false: [OEB]

(a) "Income tax and Corporate tax are the indirect taxes."

Ans. False

Reason: Because income tax and corporate tax are the direct taxes whose burden cannot be shifted.

(b) "Indirect taxes are those taxes whose burden cannot be shifted."

Ans. False

Reason: This is because indirect taxes are those taxes whose burden can be shifted. The burden of the tax falls on one person but liability of the tax falls on another person.

(c) "The tax which rises with rise in income is called as regressive tax."

Ans. False

Reason: The tax which rises with rise in income is called as progressive tax. These are those taxes which rises with the rise in income of a person.

(d) "Interest, dividend, profit are a part of indirect taxes."

Ans. False

Reason: Interest, dividend, profit are a part of non-tax revenue receipts and not of indirect taxes.

2 Marks Questions

Q.1. What is progressive tax? [ISC 2020]

Ans. Progressive tax: It is a tax in which the average tax rate increases as taxable amount increases.

OR

It is when the rate of taxation increases as the taxpayer's income increases.

Examiner's Comment

- Majority of the candidates, instead of writing that it is the rate of tax which increases with the increase in the taxpayer's income, wrote that tax increases with the increase in taxpayer's income. Many candidates did not know the difference between progressive and proportional tax structures. Some candidates tried to explain the meaning of progressive tax with the help of examples which were actually meant for proportional tax.

Answering Tip

- Understand progressive tax by using the words 'tax rate' i.e. tax rate increases taxable amount increases. The students need to clearly understand the difference between increase in tax and increase in the rate of tax. Also learn the difference between proportional tax and progressive tax with the help of a numerical example.

Q.2. What is direct tax? [ISC 2017]

Q.3. What is meant by fiscal policy? Name any two instruments of fiscal policy. [ISC 2016]

Ans. Fiscal policy is the policy which deals with the revenue, expenditure policy and public borrowing of the government.

Instruments of fiscal policy are :

(i) Public expenditure.

(ii) Taxation or Public debt.

[ISC Marking Scheme 2016]

Examiner's Comment

- Most of the candidates wrote the definition correctly but while writing the instruments, many wrote public revenue instead of taxation.

This question is for practice and its solution is available at the end of the chapter

Answering Tip

- Students must properly explain the instruments of fiscal policy.

Q.4. "There are a lot of non-tax revenue sources for the government." Name any two of them. [OEB]

Ans. Two non-tax sources of revenue are fines paid by violators of law and fees paid for government departmental works like passport fees, land and property registration fees, etc.

Q.5 "Indirect tax can be made progressive." Justify. [OEB]

Ans. Indirect taxes should be levied at a higher rate on goods and services that are either luxurious in nature or are consumed by richer sections of the society. On the other hand, no or minimum indirect taxes should be levied on inferior goods or those which are consumed by poor sections of the society.

3 Marks Questions

Q.1. What is an indirect tax? How is it different from a direct tax? [ISC 2018]

Ans. Indirect tax: An indirect tax is initially imposed on and paid by one individual, but the burden of which is passed over to some other individual who ultimately bears it. /(Impact falls on one person but the incidence is on other.)

Direct tax: Direct tax is levied on a person and he bears the burden and pays it. /(Impact and incidence of the tax is on the same person.) Cannot shift the burden. **[ISC Marking Scheme, 2018]**

Examiner's Comment

- Majority of candidates were able to explain the meaning of indirect tax and how it is different from direct tax. However, a few candidates went wrong by defining indirect tax and direct tax as tax imposed on expenditure and income respectively. Some candidates were unable to explain the taxes with reference to impact and incidence.

Answering Tips

- The students need to learn the definitions of direct tax and indirect tax with reference to impact and incidence.
- The students must give examples of the taxes while defining them.

Q.2. Highlight two differences between sales tax and income tax. [ISC 2015]

Ans. Differences between sales tax and income tax :

(i) Differences: sales tax is an indirect tax whereas income tax is a direct tax.

(ii) Sales tax: burden is passed on to other persons, incidence and impact not on the same person.

Income tax: incidence and impact on the same person.

[ISC Marking Scheme 2015]

Examiner's Comment

- A number of candidates gave more emphasis on the definitions of sales tax and income tax than on the differences between the two. Several candidates failed to make a mention of the impact and incidence of taxation.

Answering Tip

- Emphasise upon the impact and incidence of a tax. learn about the Shifting of tax.

Q.3. How is degressive tax different from regressive tax? [OEB]

Q.4. Mention the difference between "government expenditure" and "taxation" as a tool used under fiscal policy? [OEB]

Ans. Government expenditure as a tool used under fiscal policy can be referred to as those expenditures made by the government to control various situations in an economy such as inflation, recession etc. Government expenditure is of two types, revenue expenditure and capital expenditure.

Taxation as a tool used under fiscal policy can be referred to as the receipts from both tax receipts and non-tax revenue receipts. Tax receipts include both direct tax and indirect tax.

Q.5. Differentiate between the following: [OEB]

(i) Proportional tax and Progressive tax.

(ii) Tax and fee.

(iii) Fine and Escheat

Ans. (i) Proportional tax is the type of tax system where the rate of tax remains the same for all the levels of income, whereas Progressive tax is the type of tax system where the tax rate increases with the increase in the income.

(ii) Tax is a compulsory payment that needs to be paid by everyone to whom it is applicable without having anything in return directly, while Fee is the amount paid for utilization of services extended by various government departments and undertakings.

(iii) Fine is basically the penalties which are imposed for contravening the laws of the land, while Escheat basically means acquisition of property/assets by the State, of a person dying heirless/without a successor.

This question is for practice and its solution is available at the end of the chapter

4 Marks Questions

Q.1. State giving reason whether the following are revenue receives or capital receipts? [OEB]

(i) Recovery of loans

(ii) Interest

(iii) Borrowings

(iv) Sales tax

Ans. (i) Recovery of loans is a capital receipt because it leads to decrease in assets.

(ii) Interest is a revenue receipt because it leads to neither creation of liability or reduction in assets. Interest is a part of non-tax revenue receipt.

(iii) Borrowings is a capital receipt because it leads to increase in liability.

(iv) Sales tax is a revenue receipt because it leads to neither creation of liability nor leads to decrease in assets.

Q.2. Give the difference between non-tax revenue receipts and capital receipts? [OEB]

Ans. The difference between non-tax revenue receipts and capital receipts are as follows:

Non-tax revenue receipts	Capital receipts
It can be referred to as those receipts other than that of tax receipts.	It can be referred to as those receipts which lead to creation of liability or reduction in assets.
For example, Profits, Interest, fees, etc.	For example, borrowings, recovery of loans, etc.
They are recurring in nature.	They are non-recurring in nature.
There is no obligation in future to return the amount received.	There is future obligation to return the amount with interest.

Q.3. Explain the difference between tax receipts and non-tax revenue receipts? [OEB]

Ans. Tax receipts: Tax receipts can be referred to as those receipts which include both direct taxes and indirect taxes. Direct taxes can be referred to as those taxes whose liability to pay the tax and the burden of the tax falls on same person. For example, corporate tax, profit tax, income tax etc. Indirect taxes can be referred to as those taxes whose liability to pay the tax falls on one person and burden of the tax falls on another person.

Non-tax revenue receipts: Non-tax revenue receipts can be referred to as those receipts which include all those receipts except tax receipts. Non-tax revenue receipts include fees, fines, Interest, profits, dividend etc.

Q.4. Explain the difference between direct tax and indirect taxes? [OEB]

Ans. The difference between direct and indirect tax are:

Basis For Comparison	Direct Tax	Indirect Tax
Meaning	Direct tax refers to financial charge, levied directly on the taxpayer, and paid outrightly to the authority which imposes it, by the taxpayer.	Indirect tax is when the taxpayer is just the hands that deposit the amount of tax to the authority imposing it, while the burden of tax falls on the final consumer.
Nature	Progressive	Regressive
Incidence and Impact	It falls on the same person.	It falls on different persons.
Liability	A person on whom the tax is imposed is liable for its payment.	The person receiving the benefits is liable for its payment and not the person on whom it is imposed.
Evasion	Tax evasion is possible.	Tax evasion is hardly possible because it is included in the price of the goods and services.
Inflation	Direct tax helps in reducing inflation.	Indirect taxes promotes inflation.
Burden	Cannot be shifted to another person.	Can be shifted to another person.

(Any Four)

6 Marks Questions

Q.1. "Fiscal policy serves a lot of objectives." Explain any four of such objectives. [OEB]

Ans. The objectives of fiscal policy are:

(i) Growth of economy: Economic Growth implies a sustainable increase in real GDP of an economy,

i.e., an increase in volume of goods and services produced in an economy. Budget can be an effective tool to ensure the economic growth in a country.

(ii) **Stability of economy:** Economic stability means stability of prices. Too much fluctuation in prices is not good for the economy. Government uses taxation policy and expenditure policy in controlling the prices. For example, in an inflationary situation, government can reduce its expenditure and this would reduce aggregate demand. During deflationary situation, government can reduce taxes and increase its expenditure.

(iii) **Stability of prices:** The government through its fiscal policy can control the inflationary and deflationary pressure in the economy stabilising the prices in the economy.

(iv) **Achieving full employment:** Government budget can be used as an effective tool in the process of employment generation in various ways. Investment in infrastructural projects like construction of flyovers, bridges, expansion of roads, etc. creates jobs for different sections of the workforce. In rural/urban areas government can provide jobs through various employment generation schemes like MGNREGA, SJSRY, PMRY, etc.

(v) **Reducing income and wealth inequality:** Government can impose higher rate of tax on income of the rich and on the goods consumed by the rich. This will bring down disposable income of the rich. The amount so collected can be spent on providing free services, like education, subsidized food to the poor people, etc. This will raise disposable income of the poor reducing the gap between rich and poor.

(vi) **Reallocation of resources:** Government seeks to allocate resources with a view to balance the goals of all sections of the society. Production of goods and services which are injurious to health may be discouraged through taxation policy. Similarly, production of goods of socially beneficial nature may be encouraged through subsidies. If the private sector does not take initiative in certain activities (public goods), the government may directly control them like water supply and sanitation, etc. **[Any Four]**

Q.2. Briefly, explain all the components of revenue for the government. [OEB]

Concept Applied	Components of Revenue Receipts

Ans. The various sources of revenue for the government are:

(i) **Revenue Receipt sources:** These receipts of the government do not affect assets and liabilities of the government. These include:

(a) **Tax receipts: Tax receipts can be categorized as:**

- Direct Tax in which burden of tax and responsibility to deposit tax lies on the same person. For example, income tax, corporate tax, wealth tax, etc. are direct taxes.
- Indirect Tax in which burden of tax and responsibility to deposit tax does not lie on the same person. For example, VAT, sales tax, service tax, GST, etc. are indirect taxes.

(b) **Non-tax receipts:** These can be government fees (like passport fees, etc.), fines (like penalties for traffic rules, disobeying laws, etc.) and donations (like in case of natural disasters).

(ii) **Capital Receipt sources:** The receipts of the government which either decrease assets of the government or increases liability of the government. These include disinvestment, recovery of loans extended, fresh borrowings, etc.

Q.3. "Non – tax revenue forms a very important part of public revenue." In the light of this statement explain any four non – tax revenue options of the government. [OEB]

Ans. Non - tax revenue are those taxes which do not have a general compulsion on the wealth of a person. The major sources of non-tax revenue are prices, short/long term loans etc. The minor sources of non-tax revenue include fees, fines, forfeitures, Escheats, Tributes & Indemnities, etc.

(i) **Price:** It is the fare which is levied on a person who is availing a service from the public authority or buying a commodity from the public authority. It is important to note that in case of price, public interest is not prominent, it is a payment for service of a business character.

(ii) **Fee:** It is the most important form of administrative non tax revenue. It is charged or rather it is a compulsory payment in return of a definite service which has been rendered in public interest. This fee is never more than the cost of the service rendered and there must be some public purpose present in the service rendered in order to charge a fee on it. It is important to note that in case of fees, public interest is prominent.

(iii) **Fines:** Fines are more of a punishment than a source of revenue. They are basically the penalties which are imposed for contravening the laws of the land.

(iv) **Forfeiture:** These are the minor sources of non-tax revenue. This kind of revenue included the security deposits which are fortified in case an under-trial prisoner jumps bail or the money which is fortifies in case of non-performance of a contract by the parties.

(v) **Escheats :** Escheats are also the minor source of non-tax revenue. Escheat basically means acquisition of property/assets by the State, of a person dying heirless/without a successor.

(vi) **Tribute & Indemnities:** They are minor source of extraordinary non-tax revenue earned by the government, on payment by foreign countries. The Tributes are basically paid to the conqueror country as indemnity for the damages incurred during a war, etc. **[Any Four]**

Topic-2 Fiscal Policy – Public Expenditure and Deficit Financing

Concepts covered: Expenditure Policy, Public Debt.

Revision Notes

- **Expenditure Policy or Public Expenditure Policy :** It refers to the total expenditure of the government. It covers revenue expenditure as well as capital expenditure.
- **Importance of Public Expenditure :** (1) Economic growth, (2) Economic stability, (3) Rural development, (4) Efficient utilisation of resources, (5) Price stability.
- **Causes of rise in Public Expenditure :** (1) Rapid increase in population, (2) Huge subsidies, (3) Inflation, (4) Rising interest obligations, (5) Defence expenditure, (6) Rural development.
- **Public Debt :** It refers to the borrowings made by the government from various sources like individuals, organisations, financial institutions and other countries.
- **Need for public debt :** Government needs to raise public debt in situations when public revenue is less than public expenditure.

Scan to know more about this topic

Explained | Fiscal Deficit

- **Methods of repayment or redemption of debts :** (1) Debt refunding, (2) Debt conversion, (3) Debt refusal, (4) Capital levy, (5) Installment redemption, (6) Deficit financing.
- **Effects of Deficit Financing :** It causes inflation in the economy, changes the investment pattern, unequal distribution of income and wealth. Also, the people are forced to save.

Key Terms

- **Debt refunding :** Procuring fresh loan to repay the old loan
- **Debt conversion :** Altering the terms of old loan without actual payment of loan
- **Debt refusal :** Refusing to repay the debt
- **Deficit financing :** Process of printing new currency notes by the Central Bank in exchange of security bills or gold obtained from Central Government.

SUBJECTIVE TYPE QUESTIONS

1 Mark Questions

Q.1. Define expenditure policy of the government? [OEB]

Ans. Expenditure policy of the government can be referred to as the estimated expenditure made by the government during a fiscal year.

Q.2. What is Public Debt? [OEB]

Q.3. Mention any one difference between the revenue expenditure and capital expenditure of the government? [OEB]

Ans. Revenue expenditure can be referred to as those receipts which neither leads to creation of assets nor leads to decrease in liability. Capital expenditure can be referred to as those receipts which leads to creation of assets or decrease in liability.

Q.4. State any two examples of "revenue expenditure" of the government?

Ans. Examples of "revenue expenditure" of the government are interests, salaries, pensions, etc.

Q.5. State any two examples of the "capital expenditure" of the government?

Ans. Examples of "capital expenditure" of the government are building roads, buildings, loans given to states, etc.

2 Marks Questions

Q.1. In some situations, the government may consider additional spending to fight inflation. Justify this statement. [ISC Specimen Paper, 2023-24]

Ans. When the government increases the expenditure in providing subsidies to the producers of most essential commodities, it brings the cost of such goods down and thus reduces the inflation. Thus, the government may consider additional spending to fight inflation.

Q.2. What is meant by sinking fund? [ISC 2023]

Ans. Sinking fund is a fund containing money set aside or saved to pay off a debt or bond. Sinking

This question is for practice and its solution is available at the end of the chapter

fund can be referred to as a method of calculation of depreciation for an asset in which apart from calculating depreciation, some funds are kept to replace the asset at the end of its useful life.

Q.3. What is public expenditure? How does public expenditure on social security schemes enhance production in an economy? [ISC 2023]

Ans. Public expenditure refers to the overhead expenses of the government which is spent on collective needs and wants, such as pension, provisions, security, infrastructure, etc. It increases production capacity of an economy. Income and savings also increase and create a beneficial effect on investment and capital formation.

Q.4. What is meant by deficit financing?

[ISC Semester-II, 2022]

OR

Define deficit financing. [ISC 2018]

Q.5. How does public expenditure help in employment generation? [OEB]

Ans. When public expenditure is incurred in promotion of capital goods industries, defence, administration, etc, there is a rise in demand of these goods. To match demand with supply, the producers engage more labour, thereby creating more employment in the country.

3 Marks Questions

Q.1. Discuss two methods of Redemption of public debt in an economy. [ISC 2020]

Ans. The methods of redemption / repayment of public debt are:

(i) Refunding: Refunding of debt implies issue of new bonds and securities for raising new loans in order to pay off the matured loans (i.e., old debts). When the government uses this method of refunding, there is no liquidation of the money burden of public debt. Instead, the debt servicing (i.e., repayment of the interest along with the principal) burden gets accumulated on account of postponement of the debt- repayment to save future debt.

(ii) Conversion: By debt conversion we mean reduction of interest burden by converting old but high interest-bearing loans into new but low interest-bearing loans. This method tends to reduce the burden of interest on the taxpayers. As the government is enabled to reduce the burden of debt which falls, it is not required to raise huge revenue through taxes to service the debt. Instead, the government can cut down the tax liability and provide relief to the taxpayers in the event of a reduction in the rate of interest payable on public debt. It is assumed that since most taxpayers are poor people while lenders are rich people, such conversion of public debt results in a less unequal distribution of income.

(iii) Sinking Fund: One of the best methods of redemption of public debt is sinking fund. It is the fund into which certain portion of revenue is put every year in such a way that it would be sufficient to pay off the debt from the fund at the time of maturity. In general, there are, in fact, two ways of crediting a portion of revenue to this fund. The usual procedure is to deposit a certain (fixed) percentage of its annual income to the fund. Another procedure is to raise a new loan and credit the proceeds to the sinking fund. However, there are some reservations against the second method.

(iv) Capital Levy: In times of war or emergencies, most governments follow the practice of raising money necessary for the redemption of the public debt by imposing a special tax on capital. A capital levy is just like a wealth tax in as much as it is imposed on capital assets. This method has certain decisive advantages. Firstly, it enables a government to repay its (emergency) debt by collecting additional tax revenues from the rich people (i.e., people who have huge properties). This then reduces consumption spending of these people and the severity of inflation is weakened. Secondly, progressive levy on capital helps to reduce inequalities in income and wealth. But it has certain clear-cut disadvantages too. Firstly, it hampers capital formation. Secondly, during normal time this method is not suggested.

(v) Terminal Annuity: It is something similar to sinking fund. Under this method, the government pays off its debt on the basis of terminal annuity. By using this method, the government pays off the debt in equal annual instalments. This method enables government to reduce the burden of debt annually and at the time of maturity it is fully paid off. It is the method of redeeming debts in instalments since the government is not required to make one huge lump sum payment.

(vi) Budget Surplus: By making a surplus budget, the government can pay off its debt to the people. As a general rule, the government makes use of the budgetary surplus to buy back from the market its own bonds and securities. This method is of little use since modern governments resort to deficit budget. A surplus budget is usually not made.

(vii) Additional Taxation: Sometimes, the government imposes additional taxes on people to pay interest on public debt. By levying new taxes—both direct and indirect— the government can collect the necessary revenue so as to be able to pay off its old debt. Although an easier means of repudiation, this method has certain advantages since taxes have large distortionary effects.

(viii) Compulsory Reduction in the Rate of Interest: The government may pass an ordinance to reduce the rate of interest payable on its debt. This happens when the government suffers from financial crisis and when there is a huge deficit in its budget. There are so many instances of such statutory reductions

This question is for practice and its solution is available at the end of the chapter

in the rate of interest. However, such practice is not followed under normal situations. Instead, the government is forced to adopt this method of debt repayment when situation so demands. **[Any Two]**

Examiner's Comments

- For debt conversion, most of the candidates only mentioned that the old debt was converted into a new debt. The explanation of sinking fund was not up to the mark in a large number of answer scripts. In case of terminal annuities, candidates did not mention the regular instalment basis.
- Many candidates still wrote repudiation as a valid point for redemption of public debt which is now redundant. Some candidates were confused while answering debt conversion and statutory reduction rate of interest.

Answering Tip

- Learn all the relevant methods of redemption of public debt. All the captions with implications should be properly and clearly understood. The students should keep in mind that repudiation is simply refusing to repay the debt and not a method of debt repayment.

Q.2. Explain how public expenditure can be used as an instrument of fiscal policy to solve the problem of: [ISC 2019]

(i) Income inequality

(ii) Inflation

Ans. (i) Economic inequality is an inherent part of every economic system. Government aims to reduce such inequalities of income and wealth, through its budgetary policy. Government, through various forms of public expenditure, e.g., expenditure on social security measures, subsidies to labour incentive industries, social infrastructure, anti-poverty programmes, etc., redistribute income in favour of poor and thus, reduce inequalities.

(ii) Public expenditure is used to prevent business fluctuations of inflation to achieve the objective of economic stability. The government aims to control the different phases of business fluctuations through its budgetary policy. Public expenditure is reduced, hence, liquidity is soaked from an economy resulting in reduced aggregate demand and in this way inflationary situation is corrected by fiscal policy.

Examiner's Comments

- Most of the candidates did not write the mechanism of how public expenditure could be used as an instrument of fiscal policy to solve the problem of Income Inequality and Inflation but only wrote that public expenditure should be increased.
- Several candidates, instead of specifying that unproductive public expenditure should be reduced, mentioned only about public expenditure being reduced. A few candidates explained by taking tax as an instrument, thereby, ignoring the question asked.

Answering Tips

- Emphasise upon the process of working of different policies or measures to solve the problem of income inequality and inflation.
- Explain the role of public expenditure to solve the various problems faced by the economy.

Q.3. Discuss the following methods of debt redemption: [ISC 2017]

(i) Refunding

(ii) Debt conversion

Ans. (i) Refunding: Refunding of debt implies issue of new bonds and securities for raising new loans in order to pay off the matured loans (i.e., old debts). When the government uses this method of refunding, there is no liquidation of the money burden of public debt. Instead, the debt servicing (i.e., repayment of the interest along with the principal) burden gets accumulated on account of postponement of the debt- repayment to save future debt.

(ii) Debt Conversion: By debt conversion we mean reduction of interest burden by converting old but high interest-bearing loans into new but low interest-bearing loans. This method tends to reduce the burden of interest on the taxpayers. As the government is enabled to reduce the burden of debt which falls, it is not required to raise huge revenue through taxes to service the debt. Instead, the government can cut down the tax liability and provide relief to the taxpayers in the event of a reduction in the rate of interest payable on public debt. It is assumed that since most taxpayers are poor people while lenders are rich people, such conversion of public debt results in a less unequal distribution of income.

Examiner's Comment

- Some of the candidates confused 'refunding' with 'repudiation' of debt.
- Debt conversion was confused with refunding.

Answering Tips

- The students should keep in mind that refunding is when the government raises a fresh loan to pay off the maturing bond.
- The students need to understand that debt is not actually repaid but the form of debt is changed.

Q.4. Public expenditure helps in increasing the production of an economy. In this context, discuss any two points of importance of public expenditure. [ISC 2016]

Ans. The importance of public expenditure are:

(i) Economic Development: Public expenditure has the expansionary effect on the growth of national income, employment opportunities, etc. Economic development also requires development of economic infrastructures. A developing country like India must undertake various projects, like road-bridge-dam construction, power plants, transport and communications, etc. These social overhead capital or economic infrastructures are of crucial importance for accelerating the pace of economic development. It is to be remembered here that private investors are incapable of making such massive investments on the various infrastructural projects. It is imperative that the government undertakes such projects. Greater the public expenditure, higher is the level of economic development.

(ii) Employment Generation: Public expenditure is considered as an important tool of fiscal policy. Public expenditure creates and increases the scope of employment opportunities during depression. Thus, public expenditure can prevent periodic cyclical fluctuations. During depression, it is recommended that there should be more and more governmental expenditures on the ground that it creates jobs and incomes. On the contrary, a cut-back in government's expenditure is necessary when the economy faces the problem of inflation. That is why it is said that by manipulating public expenditure, cyclical fluctuations can be lessened greatly. In other words, variation of public expenditure is a part of the anti- cyclical fiscal policy.

Examiner's Comment

- Importance of public expenditure which are not directly or indirectly related to "increase in production", such as, income inequality or expenditure on defence were explained by a number of candidates.

Answering Tip

- The students should read the questions properly and carefully before they start answering them.

Q.5. How can economic stability be achieved by public expenditure? [OEB]

4 Marks Questions

Q.1. Discuss how public expenditure can be used as an important tool to attain:

[ISC Semester-II, 2022]

(i) Regional equality.

(ii) Economic growth.

Ans. (i) Regional Equality: Public expenditure can correct regional disparities. By diverting resources in backward regions, government can bring about all-round development there so as to compete with the advanced regions of the country. This is what is required to maintain integration and unity among people of all the regions. Unbalanced regional growth encourages disintegrating forces to rise. Public expenditure is an antidote for these reactionary elements.

(ii) Economic Growth: Without government support and backing, a poor country cannot make huge investments to bring about a favourable change in the economic base of a country. That is why massive investments are made by the government in the growth and development of basic and key industries, agriculture, consumable goods, etc. Public expenditure has the expansionary effect on the growth of national income, employment opportunities, etc. Economic development also requires development of economic infrastructures.

Q.2. Why do the government need to borrow internally? [OEB]

Ans. The reasons for the internal borrowings of the government are:

(i) To keep a check on recession in the economy: Recession is not good for any economy. The government keeps a check on recession and whenever an economy is likely to move in the direction of recession, the government borrows money to increase public expenditure.

(ii) To finance development plans for the economy: This is particularly important in underdeveloped and developing economies where government has to incur huge public expenditure for development and growth of the economy. The government borrows money to finance such development plans.

(iii) To prepare for contingencies: The government also borrows money to keep a reserve for some contingent and unforeseen events. In case of contingencies, wars, disasters and emergencies, government has to incur huge expenses. But during such situations, people are less likely to extend loans. As a result, the government needs to maintain reserve for meeting such situations.

(iv) To meet deficit in the budget: The government in developing and underdeveloped economies generally favour a deficit budget. This means that the government expenditure is more than its revenue. To meet this deficit in the budget or excess of expenditure over revenue, the government needs to borrow money.

This question is for practice and its solution is available at the end of the chapter

Q.3. What are the various types of expenditure that the government undertakes?

Ans. The various types of expenditure are:

(i) Revenue and capital expenditure: *Revenue expenditure*, neither creates assets nor reduces any liability of the government, is recurrent in nature. *For example,* subsidies, interest payment whereas Capital expenditure either creates an assets or reduces a liability, is irregular in nature. *For Example,* expenditure on constructions of roads, repayment of loans, etc.

(ii) Plan and non-plan expenditure: Government expenditure incurred on various development projects and programmes under 5 year plans now, decided by NITI Aayog and known long term plans are called plan expenditure. For example: expenditure on development of rural areas, agriculture, science and technology, etc. Whereas non-plan expenditure refers to expenditure on projects other than expenditure related to long term plans by NITI Aayog. *For example:* interest payment, subsidies, defence expenditure, etc.

(iii) Development and non-development expenditure: Expenditure on activities which are directly related to economic and social development of the country. E.g. expenditure on health facilities, etc. Non-development expenditure is incurred on administration, collection of tax etc.

Topic-3 Government Budget

Concepts covered: Budget, Revenue Receipts, Capital Receipts, Revenue Expenditure, Capital Expenditure, Budget Deficit.

Revision Notes

- **Budget :** A Budget is a consolidated financial statement prepared by government on expected public expenditure and public revenue during a financial year.
- **Objectives of Government Budget :** (i) Encouragement to economic development, (ii) Balanced Regional development, (iii) Redistribution of Income and Property, (iv) Economic stability, (v) Generation of employment, (vi) Management of public enterprises.
- **Types of Government Budget :**
  - **Revenue Budget :** It shows revenue receipts and revenue expenditure of the government.
  - **Capital Budget :** It shows capital receipts and capital expenditure of the government.
- **Revenue Receipts :** (a) Which do not cause any reduction in assets and; (b) Which do not create any corresponding liability to the government. [**Example :** Tax receipts of the government].
- **Capital Receipts :** (a) Which creates corresponding liability for the government [Example : Loans by the Government] and; (b) Which cause reduction in assets of the government [Example : Disinvestment]
- **Tax :** It is a compulsory contribution by an individual, household or a firm to the government without receiving anything in return.
- **Non-Tax Receipts :** These are those receipts which are received from sources other than taxes. *e.g.*, Fees, Fines, Grants, Donations, etc.
- **Revenue Expenditure :** It is that expenditure by the government which :
  - Does not cause increase in government asset, and
  - Does not cause any reduction in government liability.
- **Capital Expenditure :** It is that expenditure by the government which :
  - Causes increase in government assets, and;
  - Which causes reduction in government liability.
- **Development Expenditure :** It is directed towards development programmes of the country, and which directly contributes to the flow of goods and services in the economy.
- **Non-Development Expenditure :** It is not directly related to development programmes of the country, and which does not directly contribute to the flow of goods and services in the economy.
- **Budget Deficit :** It is the excess of total estimated expenditure over total estimated revenue.
  - **Revenue Deficit :** Revenue Receipts < Revenue Expenditure.
  - **Fiscal Deficit :** [Revenue Expenditure + Capital Expenditure] – Revenue Receipts + Capital Receipts (other than government borrowing)].

    Effects of Fiscal Deficit : The effects of Fiscal Deficit are :

    (i) High Inflation

    (ii) Increased foreign dependence

    (iii) Financial Burden on citizens

    (iv) Increased borrowings by government

  3. **Primary Deficit :** Fiscal Deficit – Interest Payments
- **Types of Budget**

(a) Balanced Budget

Total Expenditure = Total Revenue

(b) Deficit Budget

Total Anticipated Expenditure > Total Anticipated Revenue

(c) Surplus Budget

Total Anticipated Expenditure < Total Anticipated Revenue

Key Terms

- **Balanced Budget :** When government revenue and expenditure are equal.
- **Surplus Budget :** When anticipated revenues exceed expenditure.
- **Deficit Budget :** When anticipated expenditure is greater than revenues.

SUBJECTIVE TYPE QUESTIONS

1 Mark Questions

Q.1. An economy can have a fiscal deficit without a revenue deficit. Give one reason to support this statement. [ISC Specimen Paper, 2023-24]

Ans. When the revenue receipts are equal to the revenue expenditure the economy will not have any revenue receipts, but when the sum of revenue receipts and capital expenditure is so much more than the revenue receipts and capital receipts then the economy can have fiscal deficit even though it has no revenue deficit.

Q.2. Give the meaning of primary deficit. [OEB]

Ans. Primary deficit can be referred to as fiscal deficit minus interest payments.

Q.3. When total expenditure is equal to total receipts, then it is called as _____budget. (Balanced/ Surplus/Deficit) [OEB

Ans. Balanced budget can be referred to as that budget when total expenditure is equal to total receipts.

Q.4. Mention the two types of Budget. [OEB

Ans. The two types of Budget are: Revenue budget and Capital Budget.

Q.5. Define revenue deficit. [OEB

Ans. Revenue deficit can be referred to as when total revenue expenditure is greater than total revenue receipts.

Q.6. State giving reason whether the following statement is true or false: [OEB

(a) "Fiscal deficit is the difference between Primary deficit and Interest payments."

Ans. False

Reason: Fiscal deficit can be referred to as sum of Primary deficit and interest payments.

(b) State giving reason whether the following statement is true or false:

"Surplus budget implies expenditure made by the government is more than the receipts received by the government."

Ans. False

Reason: Surplus budget can be referred to as that budget in which receipts are greater than expenditure.

(c) State giving reason whether the following statement is true or false:

"Primary deficit implies the difference between the revenue expenditure and revenue receipts of the government."

Ans. False

Reason: This is because Primary deficit is the difference between fiscal deficit and interest payments.

2 Marks Questions

Q.1. What does the difference between fiscal deficit and interest payments imply? What does 'zero difference' mean in this case? [ISC Specimen Paper, 2023-24]

Ans. The difference between fiscal deficit and interest payments implies primary deficit.

The zero difference in this case means that the government need not borrow money to pay interest on its debts.

Q.2. How are revenue receipts different from capital receipts in a budget? Give one example of each receipt. [ISC 2023]

Ans. The differences between revenue receipt and capital receipt in a budget are:

S. No.	Basis of Distinction	Revenue receipts	Capital receipts
(i)	Reduction in Assets	Revenue receipts do not cause any reduction in assets.	Capital receipt causes reduction in assets of the government.
(ii)	Creation of Liability	Do not create any corresponding liabilities to the government	It creates corresponding liabilities for the government.
(iii)	Recurrence	Such receipts recur every year.	Such receipts do not recur.
(iv)	Example	Tax receipts of the government	Loans taken by the government and disinvestment.

(Any Two)

Q.3. What is meant by government budget? [ISC Semester-II, 2022]

Ans. A government budget is an annual financial statement showing item wise estimates of anticipated revenue and anticipated expenditure during a fiscal year.

Q.4. Give two examples of each of the following: **[ISC 2019]**

(i) Revenue receipts of the government.

(ii) Revenue expenditure of the government.

Ans. (i) Revenue receipts: Tax receipts and Interest receipts of the government.

(ii) Revenue expenditure: Old Age Pensions, Salaries and Scholarships.

Examiner's Comment

- Majority of the candidates were confused between revenue receipt and capital receipt and between revenue expenditure and capital expenditure. Many candidates mentioned receipt from imports but did not mention that the imports were from which items.

Answering Tip

- Learn the concept of capital and revenue receipt and expenditure in a tabular form and by giving examples of how these two components are related with asset creation/reduction and liability creation/reduction.

Q.5. What is meant by revenue deficit? Explain its implication. **[ISC 2015]**

Ans. Revenue deficit and its implication.

Revenue Deficit: When the revenue expenditure of the government is more than the revenue receipts.

Implication: to cover this deficit, government has to borrow, which will increase the capital expenditure of the government.

[ISC Marking Scheme, 2015]

Examiner's Comment

- A number of candidates explained revenue deficit as the difference between Expenditure and Income or the difference between Revenue income and Revenue expenditure. The explanation for implication was also poor in many cases.

Answering Tip

- Students should be taught the relevance of using excess of Revenue expenditure over Revenue income of the Government.

3 Marks Questions

Q.1. How is fiscal deficit different from primary deficit? Explain one implication of fiscal deficit. **[ISC 2020]**

Ans. Fiscal deficit is the difference between the estimated total expenditure and estimated total revenue (excluding the fresh borrowing). It is the main indicator of the budgetary deficit. Primary deficit is the difference between the fiscal deficit and the total interest payments. It indicates the real financial position of the government.

Implication of Fiscal Deficit: It measures the total borrowing requirements. It creates problem of interest payment and repayment of debt.

Examiner's Comment

- While explaining fiscal deficit, most candidates did not mention excluding borrowing. Instead of total budgetary expenditure, many candidates wrote total expenditure. Although the answers for primary deficit were largely correct, the explanation for the implications of primary deficit was incorrect in many answer scripts.

Answering Tip

- Understand fiscal deficit and primary deficit by giving examples. Explain the logic behind excluding borrowing from the fiscal deficit. The relevant differences between primary deficit and fiscal deficit which should be kept in mind while answering this question are: (i) A government creates a fiscal deficit by spending more money than it takes in from taxes and other revenues excluding debt. (ii) The gap between income and spending is closed by government borrowing. (iii) Primary deficit is defined as fiscal deficit of current year minus interest payments on previous borrowings. In other words, whereas fiscal deficit indicates borrowing requirement inclusive of interest payment, primary deficit indicates borrowing requirement exclusive of interest payment (i.e., amount of loan).

Q.2. Differentiate between the revenue and capital components of the union budget. **[ISC 2019]**

Ans. Differences between revenue component and capital components of the Union Budget:

Revenue component	Capital component
This shows the revenue receipts of the government and the expenditures met from these revenue receipts.	This comprises of capital receipts and capital expenditures of the government.

Revenue receipts are non- redeemable – they involve no sale or reduction of government assets.	Capital receipts create liabilities and reduce the assets of the government.
Revenue expenditure neither create liabilities nor create assets of the government like expenditure on law and order, interest payment, defence, etc.	Capital expenditure lead to creation of assets and liabilities of the government. Example: granting loans and advances to the state government, land, building machinery, etc.

[ISC Marking Scheme, 2019]

Examiner's Comment

- Several candidates got confused between the terms revenue receipt or capital receipt and revenue expenditure or capital expenditure. A few candidates did not give their relevant examples.

Answering Tip

- By means of a flow chart, the difference between the revenue and capital components of the union budget along with the examples of every component should be learnt.

Q.3. Differentiate between Revenue deficit and Fiscal deficit. [ISC 2018]

Ans. The difference between Revenue deficit and Fiscal deficit are:

S. No.	Basis	Revenue deficit	Fiscal deficit
(i)	Meaning	It results when revenue receipts are less than the expenditure.	It is the difference between total revenue and total expenditure of the government (excluding borrowing).
(ii)	Indicator	It indicates the dependency on loans in near future.	It is an indicator of the total borrowings needed by the government.
(iii)	Arises	It arises when the government's actual net receipts are lower than the projected receipts.	It arises due to hike in capital expenditure.

Examiner's Comment

- Many candidates, instead of explaining revenue deficit as a difference between revenue expenditure and revenue receipt explained it as a difference between expenditure and revenue of the government. Several candidates, while explaining fiscal deficit did not mention excluding borrowing. Very few candidates wrote the implications of revenue deficit and fiscal deficit.

Answering Tips

- Learn the correct definitions of revenue deficit and fiscal deficit with stress on the mention of excluding borrowing in fiscal deficit.
- The students should write the implications of both – revenue deficit and fiscal deficit.

Q.4. What is meant by budget of the government? Give two differences between revenue expenditure and capital expenditure. [ISC 2016]

Ans. Budget of the government:

It is a statement of expected receipt and expected expenditure of the government during a financial year.

The following are the main differences between capital and revenue expenditures:

S. No.	Basis	Capital Expenditure	Revenue Expenditure
(i)	Nature	Capital expenditure is of non-recurring nature.	Revenue expenditure is of recurring nature.
(ii)	Purpose	Capital expenditure is incurred in acquiring permanent assets or improving their existing capacity.	Revenue expenditure is incurred in managing day-to-day activities of the organization and maintaining its fixed assets.
(iii)	Benefit	Capital expenditure gives benefit over a number of years.	Revenue expenditure gives benefit not for more than one year.
(iv)	Earning	Capital expenditure helps in increasing earning capacity of the business.	Revenue expenditure helps in earning capacity of the business.
(v)	Treatment	Capital expenditure is shown on asset side of the balance sheet.	Revenue expenditure is shown on the debit side of the trading and profit and loss account.

(Any Three) [ISC Marking Scheme, 2017]

Examiner's Comment

- While writing the definition of budget, a number of candidates did not write 'expected' or 'estimated' receipt and expenditure of the government. Several candidates got confused with revenue a/c and capital a/c for revenue expenditure and capital expenditure.

Answering Tip

- Understand the relevance of the terms 'expected' and 'estimated' in defining budget.

Q.5. What is meant by :
(i) Union Budget
(ii) State Budget **[ISC 2015]**

Ans. (i) Union Budget : Central government submits a budget called Union Budget (financial statement of central government).
(ii) State Budget : State government submits a budget called the State Budget (financial statement of the state government). **[ISC Marking Scheme 2015]**

Examiner's Comment

- Budget as 'financial statement' or 'estimated income and expenditure' was not mentioned by several candidates. Some candidates missed out the term 'annual financial statement'. Instead of writing that the budget is prepared by the Central or Union government, some candidates wrote 'budget is made for the economy or country as a whole'. While explaining 'State budget', a few candidates wrote that it is the budget made for the State instead of writing that it is the financial statement made by the state government.

Answering Tip

- For both Union budget and State budget, students should know from that budget is a financial statement of Union/State government for a particular year.

4 Marks Questions

Q.1. Explain the objective of "reducing income inequalities" of the government budget. **[OEB**

Ans. The government budget objective of "reducing income inequalities" states that income inequalities between rich and poor should be reduced. The distribution of income between rich and poor can be reduced by levying taxes on the rich and spending more on the poor. Thus, this will lead to increase in standard of living of the people.

Q.2. Explain the following concept: **[OEB]**
(i) Revenue deficit
(ii) Fiscal deficit

Q.3. Define revenue receipts. Describe the role of government budget in bringing stability in the economy. **[OEB]**

Ans. Revenue receipts can be referred to as those receipts which neither lead to creation of liability or decrease in assets. The government plays an important role in bringing price stability or economic stability in the economy. Price stability is an important tool because it leads to control prices in the economy. In case of inflation or deflation, government uses various tools to control prices in the economy.

Q.4. Define government budget. Describe the role of government budget in influencing allocation of resources in the economy. **[OEB]**

Ans. Government budget can be referred to as which records anticipated expenditure and anticipated receipts during a fiscal year. Government allocates resources in the economy through tax concessions or subsidies. Taxes are collected from rich and redistributed to the poor people. Government also assists in directly producing goods and services in the economy like in sanitation, law and order, etc.

Q.5. Explain the objective of government budget "economic growth". **[OEB]**

Ans. Economic growth can be referred to as increase in the real GDP of the economy. In other words, it can be referred to as the increase in the quantity of goods and services. Through budget, economic growth of a country can be ensured.

Expenditure made on Infrastructure enhances the activities of production in different sectors of an economy. Through various tax rebates, it stimulates savings and investments in the economy.

6 Marks Questions

Q.1. Define fiscal deficit, primary deficit and revenue deficit. Discuss their implications with reference to India. **[ISC 2016]**

Ans. Revenue deficit: It is the excess of revenue expenditure over its revenue receipts.

Revenue deficit = Revenue Expenditure – Revenue receipts

This question is for practice and its solution is available at the end of the chapter

Fiscal deficit : Total budget expenditure over total budget receipts excluding borrowings.

Fiscal deficit = Total budgetary expenditure – Revenue receipts – Capital receipt (excluding borrowings)

Primary deficit is the difference between fiscal deficit and interest payment.

Primary deficit = Fiscal deficit – Interest payment

Implications :

Revenue deficit – is borrowing or disinvestment. It is a warning to the government to cut down its expenditure.

Fiscal deficit – It measures the total borrowing requirement. It creates problem of interest payment and repayment of debt.

Primary deficit – Interest payment of past to be noted. The extent to which the government is adding to the pile of existing debt during the budgetary year. **[ISC Marking Scheme 2016]**

Examiner's Comments

- Some common errors made by candidates while answering this part were:
  - Implications were repeated, like "debt trap", "inflation" for all the deficits.
  - All implications were stated together for all the deficits and not separately.

Q.2. "Government Budget is made up of a lot of components." Explain them. [OEB]

Q.3. What do you mean by deficit financing? Why has India's public expenditure increased in the recent years? [OEB]

Ans. Deficit financing is the process of printing new currency notes by the Central Bank in exchange of security bills or gold obtained from Central Government.

It causes inflation in the economy, changes the investment pattern, unequal distribution of income and wealth. Also, the people are forced to save.

The government expenditure has increased in the recent years to rapid growth of population with no corresponding increase in necessities and social welfare activities. In a developing country like India, poverty, illiteracy, hygiene, cleanliness, etc. are major issues. To combat these evils of the society and economy, the government has to make huge investments. As a result both revenue and capital expenditure has increased in the recent years giving an overall rise to the total public expenditure of the government.

OBJECTIVE TYPE QUESTIONS

[A] Multiple Choice Questions

Q.1. Which type of tax discourages people from making more money as it can lead to class warfare and individuals hiding income or assets?

[ISC Specimen Paper, 2023-24]

(A) A small percentage of tax charged on an individual's income.

(B) A fixed percentage of tax charged on an individual's income.

(C) Tax charged at a decreasing rate when income of the individual increases.

(D) Tax charged at an increasing rate when income of the individual increases.

Ans. Option (D) is correct.

Explanation: When the rate of tax is increased as the income increases, the people would want to earn less so as to have a lesser tax burden.

Q.2. The Government can achieve its budget objective of 'Redistribution of Income' by_____ (Fill up the blank with correct alternative)

(A) managing the General Price Level in the economy to the desired level.

(B) increasing the Gross Domestic Products (GDP) of the economy.

(C) bringing the production of goods and services under its direct and absolute control.

(D) rationalisation of taxes in pro-poor direction.

[CBSE SQP, Term-I, 2021-22]

Ans. Option (D) is correct.

Explanation: When the taxes are pro-poor that is the rich are taxed more and poor are taxed less, in such a case the wealth from the rich can be transferred to the poor on the basis of the welfare schemes. This way the government will be able to achieve the budget objective of 'Redistribution of Income.'

Q.3. The Government of India has decided to vaccinate the adult population of India (with Covaxin/ Covishield), without any charge. This would be categorised as _____ (Fill in the blank with correct alternative)

(A) revenue nature income

(B) capital nature expenditure

(C) revenue nature expenditure

(D) capital nature income

[CBSE SQP, Term-I, 2021-22]

Ans. Option (C) is correct.

Explanation: It is the expenditure by the government that is related to the current financial year. These expenses neither cause increase in government assets, nor cause any reduction in government liability. In this case as the vaccine is being given without any charge and it will not create any asset or reduce any liability, it will be categorised as revenue expenditure.

This question is for practice and its solution is available at the end of the chapter

Q.4. Which of the following is TRUE about revenue receipts?

(A) non-recurring in nature
(B) may create corresponding liability
(C) do not lead to an increase in liability
(D) include loans taken by the government

[OEB]

Ans. Option (C) is correct.

Explanation: Revenue receipts are recurring in nature and do not create any liability or lead to an increase of it or decrease any asset. The loans taken by the government are capital receipts.

Q.5. In 2021, the government said that despite the current resource crunch, it has decided to hike its capital expenditure by 34.5%. Which of the following could be a reason for this hike?

(A) increasing salaries of government employees
(B) repayment of mounting interests on international loans
(C) paying pending pensions to the government employees
(D) rapid employment generation through infrastructural projects **[OEB]**

Ans. Option (D) is correct.

Explanation: Increasing salaries of government employees, repayment of mounting interests on international loans and paying pending pensions to the government employees are all revenue expenditure as they do not reduce any liability or create any assets. In the case rapid employment generation through infrastructural projects, it leads to the generation of asset in the form of infrastructure, so it is a capital expenditure that the government's capital expenditure hiked by 34.5%.

Q.6. Which of the following can help to reduce the fiscal deficit?

(A) increasing subsidies
(B) increasing the PSU profits
(C) investing in improving public goods
(D) decreasing the burden and incidence of tax

[OEB]

Ans. Option (B) is correct.

Explanation: Increasing subsidies is a revenue expenditure so it will increase fiscal deficit. Investing in improving the public good is a capital expenditure and will also lead to an increase in the fiscal deficit. Decreasing the burden and incidence of tax will decrease the revenue receipts which will again increase the fiscal deficit. Thus, when the PSU profits are increased, the revenue receipts are increased, decreasing the fiscal deficit.

Q.7. Primary deficit in a government budget will be zero, when ..... .

(A) Revenue deficit is zero
(B) Net interest payments are zero
(C) Fiscal deficit is zero
(D) Fiscal deficit is equal to interest payment

[OEB]

Ans. Option (D) is correct.

Explanation: Primary deficit indicates borrowing requirements of the government. to meet fiscal deficit net of interest payments.

Q.8. Which one of the following is not a capital expenditure?

(A) Loans advanced by World Bank
(B) Construction of school buildings
(C) Repayment of loans
(D) Purchase of Metro Coaches from Japan

[OEB]

Ans. Option (A) is correct.

Explanation: Loan advanced by World Bank is a capital receipt as it raises liability.

Q.9. Primary deficit is borrowing requirements of government for making:

(A) Interest payments.
(B) Other than interest payments.
(C) All types of payments.
(D) Some specific payments.

[OEB]

Ans. Option (B) is correct.

Explanation: Primary deficit indicates how much of the borrowings are going to meet expenses other than interest payments.

Q.10. Fiscal deficit equals:

(A) Primary deficit minus interest payments.
(B) Primary deficit plus interest payments.
(C) Total budget expenditure minus total budget receipts.
(D) None of the above.

[OEB]

Ans. Option (B) is correct.

[B] Assertion Reason Questions

Directions: In the following questions, a statement of Assertion (A) is followed by a statement of Reason (R). Mark the correct choice as:

(A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A).
(B) Both Assertion (A) and Reason (R) are true but Reason (R) is not the correct explanation of Assertion (A).
(C) Assertion (A) is true but Reason (R) is false.
(D) Assertion (A) is false but Reason (R) is true.

Q.1. Assertion (A): Capital Budget contains the types of the revenue receipts of the government.
Reason (R): Corporation tax is a capital receipt.

[OEB]

Ans. Option (D) is correct.

Explanation: Revenue Budget contains both types of the revenue receipts of the government, i.e., Tax revenue and Non-tax revenue and the Revenue expenditure. Revenue Receipts are the receipts that neither create any liability nor reduction in assets of the government. It includes tax revenues like income tax, corporation tax and non-tax revenue like fines and penalties, special assessment, escheat, etc.
Corporation tax is a revenue receipts and not a capital receipt.

Q.2. Assertion (A): Revenue deficit is the excess of government's revenue expenditure over revenue receipts.

Reason (R): Fiscal deficit is always a wider concept than revenue deficit. **[OEB]**

Q.3. Assertion (A): Sale of the shares of LIC to the public is a revenue expenditure.

Reason (R): Capital Expenditure creates liability or increase the asset of the government. **[OEB]**

Ans. Option (D) is correct.

Explanation: Sale of shares of LIC to the public is a capital receipt as it reduces the asset of the government. This makes the assertion false. Reason is true as the capital expenditure do not create any assets or liabilities.

Q.4. Assertion (A): The government got a loan from Japan to build the Eastern Freight Corridor. It is a type of Capital Receipt.

Reason (R): Capital Receipts reduces the assets of the government or increases the liability of the government. **[OEB]**

Ans. Option (A) is correct.

Explanation: As the loan is to be repaid back to Japan, it is an example of Capital receipts as it is increasing the liability of the government.

Q.5. Assertion (A): A high revenue deficit can cause inflation in the country.

Reason (R): Rising expenditure of the government can cause a rise in the aggregate demand in the country.

Ans. Option (A) is correct.

Explanation: A high revenue deficit means that the revenue expenditure is more than the revenue receipts. This leads to the increase in the money supply in the economy and causing the aggregate demand to rise. This rise creates a situation of excess demand as the aggregate supply remains the same. This in turn will lead to an increase in the prices in the economy. Thus, inflation will be caused in the country.

Case Based Questions

[A] Multiple Choice Questions

I. Read the news report given below and answer the question that follows:

The Finance Minister Nirmala Sitharaman has proposed a sharp 34.5 per cent hike in capital expenditure to ₹ 5.54 lakh crore in financial year 2022 in order to push growth. The massive increase comes at a time when the country is looking to recover from the Covid pandemic, as rising government spending is key to bringing the economy back on track.

The government will also provide an additional ₹ 2 lakh crore to states for capital expenditure over and above its own commitment. "We will also work out specific mechanism to nudge states to spend more of their Budget on creation of infrastructure," Ms Sitharaman said.

The finance minister said that the government will launch a national asset monetisation pipeline which includes the sale of oil and gas pipelines, power transmission lines and operation of toll roads under the National Highway Authority of India.

This year's budget, according to the government, rests on six pillars: health and well-being, physical and financial capital and infrastructure, inclusive development for aspirational India, reinvigorating human capital, innovation and research and development, and "minimum government, maximum governance," the finance minister had asserted. And capital expenditure is an important component that drives the growth. **[OEB]**

(a) Why has the Finance ministry hiked the Capital Expenditure?

(A) To Recover from the Covid-19 Pandemic.
(B) To Bring the economy back on track.
(C) Both (A) and (B)
(D) Neither (A) nor (B)

Ans. Option (C) is correct.

(b) _____ is an important component that drives the growth.

(A) Capital Expenditure
(B) Revenue Expenditure
(C) Capital Receipts
(D) Revenue Receipts

Ans. Option (A) is correct.

(c) Which objective of the Government Budget does the increase in capital expenditure serve?

(A) Encouragement of Economic growth.
(B) Stability in the Economy.
(C) Generation of Employment.
(D) All of the Above.

Ans. Option (D) is correct.

(d) What problem can the increase in this Capital Expenditure create?

(A) Fiscal Deficit **(B)** Revenue Deficit
(C) Primary Deficit **(D)** Budgetary Deficit

Ans. Option (A) is correct.

[B] Subjective Based Questions

I. NEW DELHI: The government on Monday provided a list of 36 public sector companies that the finance ministry has decided "in-principle" to disinvest and privatise.

"The Shipping Corporation of India, various Units of India Tourism Development Corporation, Hindustan Antibiotics, Bengal Chemicals and Pharmaceuticals, Bharat Petroleum Corporation Ltd, Alloy Steel Plant, Durgapur; Salem Steel Plant; Bhadrawati Steel Plant - units of Steel Authority of India Limited, IDBI Bank, among the list of 36 PSUs that the government has furnished in Lok Sabha. Minister of state for finance Bhagwat Kishanrao Karad said in a written reply to the House that, "the

This question is for practice and its solution is available at the end of the chapter

government, since 2016, has given 'in-principle' approval for strategic disinvestment of 36 CPSEs and/or Subsidiaries/ Units/ Joint Ventures of CPSEs and Banks, a list of which is annexed. The execution and outcome of disinvestment transactions inter alia depends on the prevailing market conditions and bidders' interest."He was replying to a question on "the details of the Public Sector Enterprises, Banks and Financial Institutions that have been enlisted for disinvestment and privatization during the next three financial years and the details of the target amount set to be realised through the said process," asked by Trinamool Congress MP Mala Roy.

According to the list of CPSEs/ subsidiaries/ Units/ Joint Ventures of CPSEs (Central Public Sector Enterprises) and Banks for which the government has given 'in-principle' approval for 36 PSUs for strategic disinvestment since 2016. **[OEB**

(a) What type of expenditure or receipt is being discussed in the above article? Explain. (2)

Ans. In the above article, disinvestment is being discussed, thus it is a type of capital receipts for the government. Disinvestment is termed as capital receipt as it leads to the decrease of the assets as it involves selling of shares of the public sector units.

(b) What objective of the government budget is being accomplished through the expenditure or receipt mentioned in the above article? (1)

Ans. Management of Public Enterprises is the objective of the government budget that is being accomplished through the receipt mentioned in the above article.

(c) Explain the objective. (2)

Ans. By Disinvestment the government can easily improve the management of the sick public sector units and make them profitable. It will lead to the better management of the Public Enterprises as it will remove the bureaucratic control and lead to the increase in the efficiency and profitability of the enterprises. The money so got by the government can be used also for the increase in the government capital expenditure and other welfare programmes as done by the government, hereby reducing the income inequality.

(d) Is disinvestment a capital receipt or revenue receipt? (1)

Ans. Disinvestment is a capital receipt because it leads to fall in assets.

(e) What is the difference between revenue receipt or capital receipt? (2)

Ans. Revenue receipt can be referred to as those receipts which neither lead to creation of liability or reduction in assets. Capital receipts can be referred to as those receipts which lead to either creation of liability or fall in assets.

III. Asserting that there have been record GST collections in the past few months, Union Finance Minister Nirmala Sitharaman on Monday announced a proposal to remove 400 old exemptions and take every possible measure to reduce anomalies.

Sitharaman's assertions came a day after the Finance Ministry on Sunday announced that Goods and Services Tax (GST) collections for January 2021 touched an all-time high of ₹ 1.19 lakh crore since the introduction of GST regime.

"A record GST collections have been recorded in the last few months. As chairperson of the GST Council, I want to assure the government will take every possible measure to reduce anomalies. The government is focused to further ease the process," Sitharaman said during her budgets. "A proposal will be brought to remove 400 old exemptions this year. From October 1, 2021, a revised customs duty structure free of distortions will be there," she added.

She also said that the definition of small companies will be revised by raising the capital base to ₹ 2 crore from the current limit of ₹ 50 lakh. **[OEB**

(a) What type of revenue receipt is GST as mentioned in the above article? Explain.

Ans. GST is a type of Tax Receipt. Goods and service Tax is a type of indirect tax levied on the goods and services purchased within the territory of the country.

(b) Which objective of government budget can be achieved through this type of revenue?

Ans. Reduction of Income Inequality is the objective of government budget that can be achieved through taxation.

(c) How can taxation be used as a fiscal policy tool?

Ans. Taxation can be an effective tool to reduce the income inequality because through progressive taxation, the government can intervene to promote equity and reduce inequality and poverty. Progressive tax system should be followed, which means that more tax both direct and indirect taxes, should be collected from those in higher levels of income and redistribute the wealth by providing welfare benefits like providing goods and services free of cost or at a subsidized rate to those in lower income brackets.

(d) Define the nature of the taxation that GST is? Also state with reason is GST a direct tax or an indirect tax?

Ans. GST is a regressive tax system. Regressive is that type of tax system where the tax rate increases with the increase in the income.

GST is an indirect tax as the impact and incidence of taxation falls on different individuals.

(e) How is the tax different from Income tax?

Ans. The difference between income tax and GST are:

S. No.	Basis	Income Tax	GST
(i)	Type of tax	It is a direct tax.	It is an indirect tax.
(ii)	Impact and incidence of tax	The impact and incidence on taxation falls on the same person.	The impact and incidence of tax falls on two separate individuals.

Solutions for Practice Questions (Topic-1)

1 Mark Questions

2. Progressive tax is the tax system in which the rate of tax increases with an increase in the income of the individual. On the other hand, regressive tax is the tax system in which the rate of tax deceases with an increase in the income of the individual.

2 Marks Questions

Ans. 2. The type of tax in which the burden of tax and the responsibility to deposit tax lies on the same person is called direct tax. For example, income tax, corporate tax, wealth tax, etc. are direct taxes.

Examiner's Comment

- While answering this part, most of the candidates did not write about 'burden', 'impact' and 'incidence of tax'. A large number of candidates gave examples instead of the explanation.

Answering Tips

- Tell students the meaning of 'direct tax' with the help of 'impact' and 'incidence'.
- Explain the concept shifting of a tax.

3 Marks Questions

3. Regressive tax is the tax structure in which the tax rate decreases with increase in income.

   Degressive tax is the tax structure in which the tax rate increases with increase in income but the increase in tax rate is not proportional to increase in the income.

Solutions for Practice Questions (Topic-2)

1 Mark Questions

2. Public debt refers to the borrowings made by the government from various sources.

2 Marks Questions

4. Deficit financing refers to a situation in the government budget where the government expenditure exceeds government revenue and the difference is made up by borrowings or minting new funds.

Examiner's Comment

- Many candidates did not define the term deficit. Several candidates did not mention creation of new money or printing of new money in the definition of deficit financing.

Answering Tip

- The students should keep in mind that it is very important to writing the term 'creation of money' in the definition of deficit financing.

3 Marks Questions

5. Public expenditure is considered as an important tool of fiscal policy. Public expenditure creates and increases the scope of employment opportunities during depression. Thus, public expenditure can prevent periodic cyclical fluctuations. During depression, it is recommended that there should be more and more governmental expenditures on the ground that it creates jobs and incomes. On the contrary, a cut-back in government's expenditure is necessary when the economy faces the problem of inflation. That is why it is said that by manipulating public expenditure, cyclical fluctuations can be lessened greatly. In other words, variation of public expenditure is a part of the anti- cyclical fiscal policy.

Solutions for Practice Questions (Topic-3)

4 Marks Questions

2. **(i) Revenue deficit:** Revenue deficit can be referred to as that deficit in which revenue expenditure is greater than revenue receipts. It implies that government is not able to recover its regular expenditure in the budget.

   (ii) Fiscal deficit: Fiscal deficit can be referred to as that deficit in which total expenditure is greater than total receipts excluding borrowings. If government borrows from the RBI to meet its fiscal deficit then it prints its currency which creates inflation. Other method is it can borrow from RBI.

6 Marks Questions

2. The components of the budget can be divided into budgeted receipts and budgeted expenditure.

(i) Budgeted receipts can be classified as:

(a) Revenue Receipts: The receipts which do not cause any reduction in assets and; which do not create any corresponding liability to the government. [**Example:** Tax receipts of the government].

(b) Capital Receipts: The receipts which create corresponding liability for the government [**Example :** Loans by the Government] and which cause reduction in assets of the government [**Example :** Disinvestment]

(ii) Budgeted expenditure can be classified as:

(a) Revenue Expenditure: It is that expenditure by the government which does not cause increase in government asset and does not cause any reduction in government liability.

(b) Capital Expenditure: It is that expenditure by the government which causes increase in government assets and which causes reduction in government liability.

[ISC Marking Scheme 2014]

Examiner's Comment

- Many candidates did not explain the components of budget with respect to revenue and capital accounts. Some wrote on current account and capital account of balance of payment and some even mentioned different types of budget. Several candidates were confused with the terms liability and asset.

Answering Tip

- Students should know that revenue and capital accounts are components of the budget. These can be further divided.

Solutions for Objective Type Questions

[B] Assertion Reason Questions

2. Option (B) is correct.

Explanation: Fiscal deficit is always a wider concept than revenue deficit. Revenue deficit is defined as the excess of government's revenue expenditure over revenue receipts. In terms of formula:

Revenue Deficit = Revenue Expenditures (RE) – Revenue Receipts (RR)

In short, there will be revenue deficit in a government budget when revenue expenditure exceeds revenue receipts. Fiscal deficit is defined as the excess for all expenditure over total receipts net of borrowings.

Fiscal Deficit = Revenue Deficit + Capital Deficit – Borrowing = Net borrowing at home + Borrowing from RBI + Borrowing from abroad

REFLECTION

(a) Can you explain the objectives of fiscal policy?
(b) Can you differentiate between various types of tax and taxation systems?
(c) Can you explain the importance of Public Expenditure?
(d) Do you understand the various methods of redemption of Public Debt?
(e) Do you know the components of government budget?
(f) Can you explain the various deficits and their implications?